

and Vista) one could install Microsoft's Virtual Server software to add support for them.

To create a VHD file and mount it in Windows 7, you can either use the command line diskpart tool, or the diskmgmt GUI. You can launch this GUI tool by typing "diskmgmt.msc" in the run dialog. In the GUI that shows up, you can create a new virtual hard drive via the Action->Create VHD menu option. In the dialog that shows up, you can set up basic parameters such as the location of the vhd file and its size among other options. The new hard drive will now show up like any other hard drive and you can partition and format it. It is also possible to encrypt the contents of this drive using BitLocker (a part of Windows since Vista).

An interesting feature of VHD files is the ability to layer them — although this is not possible with a GUI. You can have one VHD file that has some data on it, and another that build on the first with the files that have been added / removed / changed. This is helpful in creating checkpoints, or keeping changes separate from a base state. These are called differencing VHD files.

Another interesting use is to boot Windows (7 and above) from a virtual drive directly! You can even combine the ability to layer VHD files on top of each other with booting Windows from an VHD. With this you can have an image of a fresh Windows 7 install, on top of which you can layer an image that has whatever you install after that.

This way if anything goes wrong, you can dump the VHD file with the all the changes and get back to a fresh Windows 7 system in a few minutes! Or you can create multiple layers, a layer with a fresh install, another with a few basic apps, and then the rest.

Another possibility is to have VHD file with a basic Windows 7 install, and multiple layers on top of it that correspond to different Windows 7 installs but use the same base!

All this is possible, and Windows 7 and above support this, but the process is not straightforward. You can find instructions online though.

All this sounds great, but the internal tools useless if you encounter, or want to use other virtual drive formats or types. This is where tools like OSFMount come in.

OSFMount is — in the humble opinion of the author — the best tool of this kind that is available for Windows. Not only does it support a large number of formats of virtual drives, but it also supports conversion between formats, and the creation of RAM drives.